13. Income Taxes

The income tax expense (benefit) consists of:

	2003	2002
Current		
Federal	$ ---	$ ---
State	263,934	12,622
	263,934	12,622
Deferred		
Federal	($ 1,209,098)	$ ---
State	(108,580)	---
	($ 1,317,678)	$ ---
	($ 1,053,744)	$ 12,622

The Fund incurred state income taxes of $263,934 and $12,622 for the years ended December 31, 2003 and 2002, respectively, on behalf of certain of the US Hydro Projects. For the year ended December 31, 2003 the Fund recorded a deferred federal and state income tax benefit of $1,209,098 and $108,580, respectively, which reflects the change in the net tax effects of temporary differences between the carrying amounts of assets and liabilities of the US Hydro Projects for financial reporting purposes and the amounts used for income tax purposes.

Components of the Fund's deferred income tax assets and liabilities are as follows:

	2003	2002 (Note 3)
Deferred tax asset:		
Carrying value of notes receivable	$ 1,435,129	$ --
Deferred tax liabilities:		
Depreciation and amortization	$ (5,826,098)	$ --